CASCADIA ANALYTICS

Innovative Aerosystems, Inc.

Equity Research Note | IA | 23
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Capital-Light Avionics Compounder

Innovative Solutions and Support Inc screens as a Buy with a $42.24 blended target, 114% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$19.70	$42.24	+114%	BUY

Investment Thesis

Capital-Light Avionics Compounder. 51.7% gross margins, $12.3M of 9M FCF, and a certification moat around cockpit avionics with decades-long platform lives [Q3 PR Aug-26]. Platform Sprint Underway. Aydin Displays ($16M revenue) adds defense footprint; exclusive Honeywell license adds annuities; eVTOL design win adds $50M+ of option value. Target: $250M revenue by 2029 [Note 11-Oct-26]. Market Prices Failure. At $19.70 [Mkt 16-Oct-26], the market implies below-bear growth against an $82.9M backlog. Our $42.88 base

- Capital-Light Avionics Compounder
- Platform Sprint Underway
- Market Prices Failure

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The latest print

Platform Sprint Underway. Aydin Displays ($16M revenue) adds defense footprint; exclusive Honeywell license adds annuities; eVTOL design win adds $50M+ of option value. Target: $250M revenue by 2029.

Market Prices Failure. At $19.70, the market implies below-bear growth against an $82.9M backlog. Our $42.88 base case is +118% upside; even the $19.81 bear case pays at spot.

$26.7M	51.7%	$22.7M	$82.9M	$12.3M	$43.8M
REVENUE (Q3 FY26)	GROSS MARGIN (Q3 FY26)	BOOKINGS (Q3 FY26)	CONTRACTED BACKLOG	9M FY26 FREE CASH FLOW	NET DEBT (1.4X LEVERAGE)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 FY26)	$26.7M	+10.7%	Up
Gross Margin (Q3 FY26)	51.7%	+16.1 pts	Up
Bookings (Q3 FY26)	$22.7M	n/a	Flat
Contracted Backlog	$82.9M	n/a	Up
9M FY26 Free Cash Flow	$12.3M	vs $4.8M	Up
Net Debt (1.4x leverage)	$43.8M	n/a	Up
2029 Revenue Target	$250M	n/a	New

The moat

Exclusive Honeywell license: power generators on 767, KC-46, F-15 with long-tailed aftermarket revenue

The growth engine

Aydin Displays acquisition ($24.5M): ~$16M 2026 revenue plus naval and ground defense footprint

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Innovative Aerosystems, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026–35 CAGR	2035 REVENUE	2035 EBITDA MARGIN	TARGET	UPSIDE
Bear	25%	11.7%	$249M	24.0%	**$19.81**	+1%
Base	50%	18.4%	$449M	27.5%	**$42.88**	+118%
Bull	25%	21.5%	$598M	30.0%	**$63.39**	+222%

Bear: downside case at $19.81 (+1%).

Base: central case at $42.88 (+118%).

Bull: upside case at $63.39 (+222%).

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The probability-blended target implies 114% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +114% from the $19.70 reference price.

$42.24
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$84.3M**
Valuation horizon	**2026-2035**
Live WACC	**9.23%**
Terminal growth	**3.0%**
Net debt	**$44.0M**
2035 FCF (Base)	**$80.7M**
10-year Treasury yield	**5.0%**
Beta	**0.60**
Equity risk premium	**3.7%**

BUY | $42.24 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 7.0%, below Bear case (20%) , pessimistic.

Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$0.1B	$3.84	+10%	$0.5B	$25.25	+30%	$2.2B	$119.38
-9%	$0.1B	$4.29	+11%	$0.5B	$27.44	+31%	$2.3B	$128.34
-8%	$0.1B	$4.78	+12%	$0.6B	$29.80	+32%	$2.5B	$137.92
-7%	$0.1B	$5.32	+13%	$0.6B	$32.33	+33%	$2.7B	$148.15
-6%	$0.1B	$5.90	+14%	$0.7B	$35.07	+34%	$2.9B	$159.06
-5%	$0.2B	$6.52	+15%	$0.7B	$38.01	+35%	$3.1B	$170.71
-4%	$0.2B	$7.20	+16%	$0.8B	$41.17	+36%	$3.3B	$183.13
-3%	$0.2B	$7.94	+17%	$0.8B	$44.57	+37%	$3.6B	$196.36
-2%	$0.2B	$8.74	+18%	$0.9B	$48.23	+38%	$3.8B	$210.47
-1%	$0.2B	$9.60	+19%	$1.0B	$52.16	+39%	$4.1B	$225.49
+0%	$0.2B	$10.54	+20%	$1.1B	$56.38	+40%	$4.4B	$241.49
+1%	$0.3B	$11.55	+21%	$1.1B	$60.90	+41%	$4.7B	$258.51
+2%	$0.3B	$12.64	+22%	$1.2B	$65.76	+42%	$5.0B	$276.62
+3%	$0.3B	$13.83	+23%	$1.3B	$70.97	+43%	$5.3B	$295.87
+4%	$0.3B	$15.11	+24%	$1.4B	$76.55	+44%	$5.7B	$316.34
+5%	$0.3B	$16.49	+25%	$1.5B	$82.53	+45%	$6.1B	$338.10
+6%	$0.4B	$17.99	+26%	$1.6B	$88.94	+46%	$6.5B	$361.20
+7%	**$0.4B**	**$19.60**	+27%	$1.8B	$95.80	+47%	$6.9B	$385.74
+8%	$0.4B	$21.34	+28%	$1.9B	$103.14	+48%	$7.4B	$411.78
+9%	$0.5B	$23.22	+29%	$2.0B	$110.99			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$399M	10.0x	3.0%	-$44.0M	$355M	**$19.81**
Base	$812M	13.0x	3.0%	-$44.0M	$768M	**$42.88**
Bull	$1.18B	16.0x	3.0%	-$44.0M	$1.13B	**$63.39**

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Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 67.9% of Base enterprise value (Bear 64.9%, Bull 69.2%). The terminal WACC is 9.23% in Base (Bear 9.23%, Bull 9.23%), on a terminal beta of N/A (Bear N/A, Bull N/A). The model carries no beta-decay schedule, so the terminal WACC equals the final-year WACC.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Bear	$19.81	$21.64	$22.83	$24.19	$25.62	$27.12	$28.12	$29.01	$29.80	$30.49	$31.10
Base	$42.88	$46.84	$50.22	$53.88	$57.55	$61.16	$64.04	$66.64	$68.99	$71.10	$73.03
Bull	$63.40	$69.25	$74.62	$80.28	$85.93	$91.35	$96.07	$100.36	$104.23	$107.72	$110.88

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $42.24 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Exclusive Honeywell license: power generators on 767, KC-46, F-15 with long-tailed aftermarket revenue

Aydin Displays acquisition ($24.5M): ~$16M 2026 revenue plus naval and ground defense footprint

eVTOL program: $50M+ forward-fit potential, not in base-case backlog conversion

Management's $250M 2029 revenue target underwritten in the base-case DCF

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$27.7M	$34.8M	$47.2M	$84.3M	$93.2M
Net Margin	19.9%	17.3%	14.8%	18.5%	20.5%
FCF Margin	21.4%	5.2%	10.9%	8.1%	n/a

Valuation cross-check

DCF Base $42.88 vs spot $19.70: +118%

PEG 0.83

NTM P/E 17.8x

Terminal value is the Gordon perpetuity alone at 3.0% terminal growth. The EV/EBITDA exit leg on 2035 EBITDA (10.0x Bear, 13.0x Base, 16.0x Bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $1,333M and the exit leg is $1,604M. At the model's terminal discount rate the exit leg implies 4.00% perpetual growth against the 3.0% assumed, and the growth-consistent exit multiple is 10.8x against the 13.0x used. The present value of terminal value is 67.9% of enterprise value in the base case (Bear 64.9%, Bull 69.2%).

Even the $19.81 bear case sits at spot. The market is pricing near-collapse against a growing backlog. Deeply undervalued if execution holds.

EV/Rev 4.6x TTM / 4.2x NTM

EV/EBITDA 15.3x TTM

Screens modest for a certified, sole-source avionics franchise at 51.7% gross margins. Russell 2000 inclusion widened the buyer base.

Traded $2-7 for years

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Now $19.70 on Russell inclusion + Aydin

The multi-year run reflects the rebrand and deal; the stock has not yet priced the $250M 2029 plan.

What to monitor

Dec 17, 2026. Q4 FY26 Earnings (Two-Sided): consensus EPS $0.27, revenue est $28.7M vs management's $28-30M guide. Tests backlog conversion pace.

2027. eVTOL Production Ramp (Positive): first production award for Liberty Flight Deck with a leading Japanese developer; $50M+ nominal forward-fit value.

2027-2029. Honeywell License Aftermarket (Positive): exclusive power-generator license on 767, KC-46, F-15 adds high-margin annuity revenue not yet in backlog.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$28M	$17M	$7M	$8M
2023	$35M	$21M	$7M	$9M
2024	$47M	$26M	$10M	$12M
2025	$84M	$41M	$20M	$25M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$27M	$3M	$25M	$8M
2022	$35M	$4M	$31M	$17M
2023	$63M	$24M	$39M	$3M
2024	$82M	$36M	$47M	$539K
2025	$103M	$39M	$65M	$3M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$5M	$341K	$-20M	$5M
2022	$6M	$-161K	$301K	$6M
2023	$2M	$-298K	$20M	$2M
2024	$6M	$-658K	$9M	$5M
2025	$13M	$-7M	$-5M	$7M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $42.24 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 69 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 9.83% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is +91.5% against CEO total pay of $1.29M (Dr. Shahram Askarpour), which the model scores as PERFORMANCE EARNED.

69

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	9.83% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +91.5%; Dr. Shahram Askarpour, President, CEO & Director, total pay $1.29M
Agency Risk Score	**69 / 100**	Regime: BALANCED / TYPICAL CORPORATE

SEC proxy audit, DEF 14A filed 2026-03-13

Alignment grade C. COMPENSATION DATA NOT IN EXCERPT. Shahram Askarpour, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

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Innovative Aerosystems, Inc. valuation framework

The provided excerpt covers preliminary meeting and governance items up to page 12, omitting the Compensation Discussion and Analysis starting on page 26 and the Summary Compensation Table. Dr. Shahram Askarpour serves as CEO with a 4.0% beneficial stake, with executive compensation structured by the Compensation Committee alongside independent advisor FW Cook. A definitive evaluation of pay-performance sensitivity and bonus hurdle achievement cannot be determined without the omitted SCT tables.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/836690/000110465926027765/tm261599-1_def14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Backlog Conversion Risk

The $82.9M backlog must convert on schedule to feed the $250M 2029 target. Q3 book-to-bill of 0.85x is below 1.0x; two consecutive quarters below 1.0x would break the thesis.

eVTOL Program Risk

The $50M+ eVTOL opportunity depends on a single Japanese developer's program timeline. Delays or cancellation remove the largest forward-fit growth option.

M&A and Leverage

$24.5M Aydin deal was funded with cash and credit-facility borrowings, leaving $43.8M net debt at 1.4x leverage. A large equity-funded deal would break the capital-light model.

Micro-Cap Liquidity

$346M market cap with limited float and liquidity. Russell 2000 inclusion helps, but the stock can gap hard on small volume and remains execution-dependent.

The strengths

Operating Quality

51.7% gross margins, capital-light FCF generation, FAA/EASA certification moat with decades-long platform lives. Offset by micro-cap scale, acquisition integration risk, and debt from the Aydin deal.

Recent Trend

Revenue 3x'd from $27.7M to $84.3M (FY22-25). Gross margin expanded 16pts YoY to 51.7%. Adjusted EBITDA +74.7%. EPS beats of +150%, +37%, +57% over the last three quarters.

Forward Growth

$250M 2029 revenue target (nearly 3x TTM) underwritten in base DCF. eVTOL $50M option, Honeywell annuities, Aydin cross-sell. Growth is real but execution-dependent on a tiny base.

Valuation

Spot $19.70 sits at the bear case ($19.81); base $42.88 implies +118% upside. Reverse DCF shows the market pricing below-bear growth. PEG 0.83. Among the most asymmetric setups in coverage.

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Cascadia scorecard

Composite score 76: Attractive. Confidence High, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	51.7% gross margins, capital-light FCF generation, FAA/EASA certification moat with decades-long platform lives. Offset by micro-cap scale, acquisition integration risk, and debt from the Aydin deal.	72
Recent Trend	Revenue 3x'd from $27.7M to $84.3M (FY22-25). Gross margin expanded 16pts YoY to 51.7%. Adjusted EBITDA +74.7%. EPS beats of +150%, +37%, +57% over the last three quarters.	85
Forward Growth	$250M 2029 revenue target (nearly 3x TTM) underwritten in base DCF. eVTOL $50M option, Honeywell annuities, Aydin cross-sell. Growth is real but execution-dependent on a tiny base.	72
Valuation	Spot $19.70 sits at the bear case ($19.81); base $42.88 implies +118% upside. Reverse DCF shows the market pricing below-bear growth. PEG 0.83. Among the most asymmetric setups in coverage.	78
Catalysts & Risk	Q4 earnings Dec 17, eVTOL ramp, Aydin integration all near-term. Risks: backlog must convert (book-to-bill 0.85x), eVTOL timeline, net debt 1.4x, micro-cap liquidity. Size accordingly.	68

Investment view

Backlog deterioration (two consecutive quarters of book-to-bill below 1.0x) or loss of the eVTOL contract would cut Forward Growth sharply. Conversely, continued beat-and-raise quarters converting backlog toward the $250M target re-rate the stock toward our $42.88 base case.

Investment view: Buy. The $42.24 blended target implies +114%, balancing the $19.81 / $42.88 / $63.39 Bear / Base / Bull outcomes.

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